



Instituto Tecnológico Autónomo de México
Business Strategy I (Estrategia de Negocios I)
Fall 2018

Instructor: Adrian Rubli
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Class meetings: Monday and Wednesday, 4:00-5:30 pm
Office hours: Monday and Wednesday, 3:00-3:50 pm

Course description:

Business Strategy I is an introductory course where both the foundations and the new trends of strategic management are studied. In addition, the industry where the organization operates is analyzed at the macro level. Internally, we focus on its resources and capabilities in order to identify and study the different sources of competitive advantage.

The mission of this course is to introduce the basic concepts of administration and strategy in order to develop the student's ability to identify and critically analyze the elements that underlie the formulation of strategies in various types of organizations. This course will encourage students to begin to develop a critical and informed approach to different management situations that will serve as the basis for their professional development as an actuary, administrator, accountant, financial director or business engineer.

At the end of the course, the student will be able to identify and use the tools learned to generate competitive strategies through the use of the theories and models used throughout the course.

Objectives:

- Get to know the different schools of thought and the roles of the administrator in order to grasp the conceptual frameworks of this discipline and its trends.
- Characterize the notion of strategy so that the student understands the different ways in

which a company can interact with its environment taking advantage of access to resources and internal capabilities.

- Develop analytical, critical and proactive skills through study and research based on practical cases.
- Provide students with criteria to evaluate, through conceptual frameworks, analysis models and other tools, diverse situations and decisions that involve variables at the external level (industry) and internally (organization).
- Use skills to simulate the behavior of a company.
- Develop argumentative and writing skills to better communicate ideas.

Work plan

The course is divided into four main sections.

Section I. Introduction, definition of strategy and competitive advantage. It is imperative to understand the importance of establishing a strategy for the firm to generate value and maintain it. In this context we will understand the importance of establishing the mission, vision, values of the business and, of course, the components of the strategy.

Section II. Tools for the fundamental analysis of the industry and the firm. In this section we will review classic tools that help to understand the dynamics of the industry from abroad and the elements that from within the firm can generate the desired competitive strategy.

Section III. Generation of generic strategies. Once the dynamics of the industry and the forces within the firm are clear, it is possible to generate the corresponding generic strategies to obtain a competitive advantage.

Section IV. Diverse topics in strategy. In this section we will review in a general way some of the issues that are relevant for strategic decision making.

Textbook

Barney J., Hesterly W., (2015), *Strategic Management and Competitive Advantage*, Pearson Prentice Hall, 5ª Ed.

Additionally, there will be readings based on articles from professional and academic journals or some book chapters. We will use both articles that are in the public domain and readings and cases that come from Harvard Business School. For the latter, your access will be electronically through the channels arranged by the department.

Buying the book is not necessary. It is recommended that the student review the strategy textbooks that are available at the Raúl Baillères library to analyze the different topics. All the corporate strategy books discuss practically the same topics, so reviewing a couple of them will help students become familiar with the literature.

Methodology

Classes will be a combination of lectures and active discussion of conceptual readings and didactic cases. During the class the implications of the material corresponding to the session in question will be discussed.

Controls (pop quizzes): They will be applied throughout the course without prior notice and their intention is to review the understanding of the topics and provide feedback to students on their performance.

Group work: At the beginning of the course teams of 3 or 4 people will be formed and students will work throughout the semester on various activities.

Cases: Throughout the course several cases elaborated by professors of ITAM or Harvard cases will be used. These are materials to develop discussion and writing skills for students in such a way that it is necessary to prepare the corresponding case according to the questions assigned by the instructor. For the discussion, all students must prepare the case and individually submit a brief report of it. This



is classified as delivered or not delivered at the end of the discussion. For purposes of the discussion, the teams will be assigned one of the cases and the team will lead the corresponding discussion. The team in question will have an evaluation according to the rubric given by the instructor.

Participation: Participation will be assessed throughout the semester and the evaluation will depend on: the student's commitment to the class (50%), active participation (50%).

Midterm exam covering the first part of the course (date to be assigned).

Final exam at the end of the course is cumulative, and on the date assigned by the department.

Passing the final exam is essential to pass the course. In the event that the student is found to be committing a **fraudulent practice**, the course will be classified as not accredited (N.A. or no credit NC) and the corresponding notification will be included in the student's file (Article 29 of the Student Rulebook).

Assistance and participation are essential to be able to pass the course. To qualify for the final exam the student must have a minimum attendance of 80%; that is, not miss more than six sessions throughout the semester. The student is responsible for managing their absences. Only medical notes for absences issued by the school's registrar are accepted.

The cell phone policy is that they can be used, but with discretion. The student that abuses the use of cell phones in class will be sanctioned with participation.

Cell phones, tablets and laptops are allowed to be online in silent mode for educational use only (for example, dictionary, Google, online resources). Please, NO texting, NO listening to music, NO browsing the web. Electronic devices are NOT allowed during exams, except for a simple calculator (if necessary).

Evaluation

Controls (pop quizzes)	20%
Group work	05%
Participation	10%
Midterm exam	25%
Final exam	25%
Essay/Project	15%

Content

Section I. Introduction, definition of strategy and competitive advantage

1. Introduction to the course

2. Introduction to strategy and the strategic management process

- i. Kiechel III, W. (2012) "The Management Century", Harvard Business Review. Nov, Vol. 90, Issue 11, pp. 62-76
- ii. Chapter 1: Barney J., Hesterly W., (2015), Strategic Management and Competitive Advantage, Pearson Prentice Hall, 5^a Ed

3. The concept of strategy I

- i. Robert S. Kaplan; David P. Norton; Edward A. Barrows Jr. (2008) "Developing the Strategy: Vision, Value Gaps, and Analysis" Harvard Business Publishing Newsletter B0801A-PDF-ENG
- ii. Hambrick & Fredrickson (2005) Are you sure you have a strategy? Academy of Management Executive, Vol. 19, No. 4.

4. The concept of strategy II

- i. Porter M. (1996), What is strategy?, Harvard Business Review, Nov/Dec, Vol. 74, Issue 6, p61-78

- ii. Collis & Rukstad (2008), Can you say what your strategy is? Harvard Business Review, Vol. 86, Issue 4, April, pp. 82-9

5. Case study I

- i. Case: Netflix, Willy Shih; Stephen P. Kaufman; David Spinola (2007) 608S26-PDF-ENG

6. Case study II

- i. Case: ZARA: Fast Fashion. Pankaj Ghemawat; Jose Luis Nueno (2003) 704S02-PDF-ENG

7. Additional activities

Section II. Tools for the fundamental analysis of the firm and the industry

8. Industry analysis I

- i. Chapter 2: Barney J., Hesterly W., (2015), Strategic Management and Competitive Advantage, Pearson Prentice Hall, 5ª Ed
- ii. Porter M. (2008), Las cinco fuerzas competitivas que le dan forma a la estrategia, Harvard Business Review A.L., Enero, p1-15

9. Industry analysis II

- i. Chapter 6 Craig S. Fleisher and Babette E. Bensoussan
- ii. Analysis based on Passport (Euromonitor) and Business Monitor Intelligence available at www.biblioteca.itam.mx

10. Case study

- i. Case: Netflix, Willy Shih; Stephen P. Kaufman; David Spinola (2007) 608S26-PDF-ENG
- ii. Case: ZARA: Fast Fashion. Pankaj Ghemawat; Jose Luis Nueno (2003) 704S02-PDF-ENG

11. Internal analysis

- i. Chapter 3: Barney J., Hesterly W., (2015), Strategic Management and Competitive Advantage, Pearson Prentice Hall, 5ª Ed

- ii. Chapter 8 Craig S. Fleisher and Babette E. Bensoussan
- iii. Barney, J. (1991) "Firm Resources and Sustained Competitive Advantage" Journal of Management 17.1 (Mar 1991): 99.

12. Case study

- i. Case: Netflix, Willy Shih; Stephen P. Kaufman; David Spinola (2007) 608S26-PDF-ENG
- ii. Case: ZARA: Fast Fashion. Pankaj Ghemawat; Jose Luis Nueno (2003) 704S02-PDF-ENG

13. SWOT analysis

- i. Chapter 20 Craig S. Fleisher and Babette E. Bensoussan
- ii. Mejía J. (2007), Nota técnica 080-07-EST-NT, ITAM

14. SWOT in practice

- i. SWOT analysis using one of the previous case studies

15. Review session for midterm

Midterm exam (date to be determined)

16. Discussion of midterm results

Section III. Generic strategies and corporate strategies

17. Generic strategies

- i. Dranove, David & Marciano, Sonia (2005), Kellogg on Strategy: Concepts, Tools, and Frameworks for Practitioners, John Wiley & Sons, Cap. 2: "B minus C: Position your firm against the competition".

18. Cost leadership

- i. Chapter 4: Barney J., Hesterly W., (2015), Strategic Management and Competitive Advantage, Pearson Prentice Hall, 5ª Ed

19. Product diversification

- i. Chapter 5: Barney J., Hesterly W., (2015), *Strategic Management and Competitive Advantage*, Pearson Prentice Hall, 5^a Ed

20. Case studies

- i. Apple Inc. in 2015, David B. Yoffie; Eric Baldwin (2015) 716S05-PDF-ENG
- ii. Wal-Mart Stores, Inc., Stephen P. Bradley; Pankaj Ghemawat; Sharon Foley (2002) 706S15-PDF-ENG

21. Blue Ocean Strategy

- i. Kim, Chan & Mauborgne, Renée (2004), “Blue Ocean Strategy”, Harvard Business Review, vol. 82, no. 10, pp. 76-84.
- ii. Uber: blue ocean strategy?

22. Corporate strategies. Vertical and horizontal integration

Chapters 6 and 7: Barney J., Hesterly W., (2015), *Strategic Management and Competitive Advantage*, Pearson Prentice Hall, 5^a Ed

23. Analysis of corporate strategies: case studies by groups

- i. Apple Inc. in 2015, David B. Yoffie; Eric Baldwin (2015) 716S05-PDF-ENG
- ii. Wal-Mart Stores, Inc., Stephen P. Bradley; Pankaj Ghemawat; Sharon Foley (2002) 706S15-PDF-ENG
- iii. ZARA: Fast Fashion. Pankaj Ghemawat; Jose Luis Nueno (2003) 704S02-PDF-ENG

Section IV. Select topics in strategy

24. Types of organization

- i. Chapter 6 Grant (2010), *Contemporary Strategic Analysis*, Blackwell Publishers, 8th Ed.

25. Case study

- i. Hilton Hotels: Brand Differentiation through Customer Relationship Management; Lynda M. Applegate; Gabriele Piccoli; Chekitan S. Dev (2008) 810S01-PDF-ENG

26. International strategies

- i. Redefining Global Strategy. Pankaj Ghemawat. Part 1. Value in a World of Differences

27. Case study

- i. Nestlé Ice Cream in Cuba. Russell Walker; Kyle Bell. KEL919-PDF-ENG

28. Strategic alliances, mergers and acquisitions

- i. Chapters 9 and 10: Barney J., Hesterly W., (2015), *Strategic Management and Competitive Advantage*, Pearson Prentice Hall, 5^a Ed

29. Student presentations

30. Student presentations

31. Course recap



About me

I obtained my PhD in Economics from Brown University. My research focuses mainly on the interactions between healthcare providers and consumers (patients) - as well as the influence of health policies - in the context of developing countries (namely, Mexico). I am especially interested in how healthcare shapes population and market outcomes. As an applied microeconomist, I apply advanced econometric techniques to individual-level data in order to distinguish causal effects from simple correlations in the data. The ideal goal is for my research to guide and inform policy-making from an evidence-based perspective.

To learn more, visit my webpage at www.adrianrubli.com.